EXECUTIVE SUMMARY

A. Introduction

1. Agency Profile

Rizal is Cagayan's epic town where Cagayan's epic heroes and legendary figures Biuag and Malana were said to have fought their battle for supremacy over the hand of a beautiful "Maguinganay" (lady) by swapping volleys of uprooted trees and live cattles.

The LGU is envisioned to be a model for academic excellence, public health and safety, environmental preservation and good governance, providing equal opportunity for all its constituents in a peaceful, friendly atmosphere through a God-centered leadership of the incumbent elected officials.

For CY 2015, the Municipality of Rizal had a total of 81 personnel complement with 66 permanent, 1 temporary, 11 elective, 2 co-terminus, and 1 contractual.

2. Scope of Audit

The audit covered the accounts and operations of the Municipality of Rizal, Cagayan for CY 2015 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year-ended December 31, 2015 with comparative figures for CY 2014 are as follows:

	2015	2014	Increase/ (Decrease)
Financial Position			
Total Assets	₱ 78,061,810.00	₱ 60,721,687.54	₱17,340,122.46
Total Liabilities	28,594,068.54	13,628,235.88	14,965,832.66
Total Government Equity	49,467,741.46	47,093,451.66	2,374,289.80
Financial Performance			
Total Income	61,887,867.74	53,501,693.57	8,386,174.17
Total Expenses	56,366,454.18	44,867,331.13	11,499,123.05

	2015	2014	Increase/ (Decrease)
Appropriations, Allotments and Obligations			
Total Appropriations-Current	61,492,302.00	54,224,795.00	7,267,507.00
Total Obligations	61,492,302.00	51,490,009.12	10,002,292.88
Appropriations-Continuing	-	-	-
Obligations-Continuing	-	-	-

During the CY 2015, the Municipality of Rizal received a total of ₱12,122,005.93 from other government agencies and made no fund transfer to any government agency, as follows:

	2015	2014	Increase/ (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	₱11,122,005.93	₱6,214,269.00	₱4,907,736.93
Local Government Units	1,000,000.00	-	1,000,000.00
Non-Government Organizations/People's Organizations (NGOs/POs)	-	-	-
Others	-	-	-
Total	**₱12,122,005.93**	**₱6,214,269.00**	**₱5,907,736.93**
Funds Transferred to:			
NGAs	-	-	-
Local Government Units	-	-	-
NGOs/POs	-	-	-
Total	**₱ -**	**₱ -**	**₱ -**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Rizal for the year ended December 31, 2015 due to the following:

1. Inadequate accounting and property records to support the balance of the recorded Property, Plant and Equipment (PPE) account totaling ₱42,398,865.06.

2. The validity and existence of Due from GOCCs and Due from LGUs accounts totaling ₱2,161,652.37 and ₱1,916,881.80, respectively cannot be ascertained due to absence of rightful creditors. These balances have been outstanding in the books since 2008 and management could not establish the names of the

government-owned and controlled corporation or local government unit for which the Municipality has legal claims.

D. Summary of Significant Observations and Recommendations

1. **The documentary and procedural requirements of the Procurement Law were not strictly followed by Management hence incomplete bidding documents were submitted for various projects totaling P12,236,433.08.**

   Management should submit the identified lacking documents to support the public bidding conducted and strictly observe the documentary and procedural requirements of the Procurement Law.

2. **The Construction of Illuru Sur and Norte Potable Water System Project with a total contract price of P3,964,187.36 exceeded its contract period of 120 calendar days and the applicable liquidated damages, penalties and charges were not imposed as a result of the delays incurred in the implementation of the project.**

   Liquidated damages should be properly imposed for the delays incurred in the implementation of the project.

3. **The required 10% retention money on partial payments made on contract totaling P4,443,914.06 were not imposed due to non-compliance with the provisions of Implementing Rules and Regulations of Republic Act No. 9184 (IRR-RA 9184).**

   Management should strictly impose the 10% retention money on all progress billings of contractors pursuant to the provisions of the IRR of R.A. 9184.

4. **Unliquidated Cash Advances to Officers and Employees accumulated to ₱12,762,281.07 because Management did not strictly observe the rules and regulations on the granting, utilization and liquidation of cash advances. Additional cash advances totaling ₱12,277,489.25 were granted to officials and employees even though the previous cash advances granted to them were not settled; Cash advances totaling ₱2,591,789.25 were granted for payments on account of infrastructure projects or other undertaking on a project basis; Cash advances granted in prior years totaling ₱9,094,143.62 remained unliquidated, and; Cash advances other than for travel and payroll totaling ₱8,899,789.25 were granted without the complete supporting documents and proper approval of municipal officials concerned.**

   Direct the concerned officers and employees to immediately settle their unliquidated cash advances. Strictly observe the rules and regulations on the granting, utilization and liquidation of cash advances.

5. **The unexpended balance of the Quick Response Fund (QRF) and the Disaster Risk Reduction Management Fund – Maintenance and Other Operating Expenses (DRRMF-MOOE) totaling P833,563.49 as at December 31, 2015 was not transferred to a Special Trust Fund under the account "Trust Liability-DRRM" in the Trust Fund books because Management did not comply with the provisions of COA Circular No. 2012-002.**

   Immediately transfer the unexpended balance of the DRRMF to a special trust fund under the account "Trust Liability – DRRM" which shall be used to record transfers of the agency's unutilized QRF and the DRRMF-MOOE of the previous years, receipts of NDRRMF, DRRMF from other LGUs and other sources.

6. **Management's assertions of occurrence, accuracy, validity and completeness of transactions could not be ascertained on the payment of cash advances for traveling expenses totaling P726,920.00 because these were not properly supported with the necessary documentary requirements as prescribed under COA Circular No. 2012-001.**

   Ensure strict compliance with the documentary requirements as regards traveling expenses in accordance with COA Circular No. 2012-001, 2012-003 and PD 1445. Submit the lacking supporting documents of the identified transactions and require the concerned municipal officials to review the related disbursements and affix their signatures in the appropriate portion of the document.

E. Summary of Total Suspensions, Disallowances and Charges

There were no unsettled Notices of Suspension, Disallowance and Charge as of December 31, 2015.

F. Status of Implementation of Prior Years' Audit Recommendations

Out of the 28 audit recommendations embodied in the 2014 Annual Audit Report, six were implemented, seven were partially implemented and 15 were not implemented.